rank below many smaller or poorer developing countries in global comparative terms, at least partly because their leaders have had a choice. In contrast, policymakers in less powerful emerging economies often have been less able to resist pressure by the United States and international financial institutions such as the IMF, which until quite recently, insisted on capital account liberalization as essential for both domestic financial development and sustained economic growth (see Chapter 3).

The Capabilities: International Assets and Global Financial Centers

The continuing presence of capital controls in each of the BRICS has not impeded the growth of their shares in world financial resources, which also have increased in recent decades. Just as the BRICS' share of global production has risen, so has their relative weight as national owners of international financial and monetary resources. International economic and political economic influence ultimately rests on a country's national growth rate and its ability to generate an economic surplus whose disposition political incumbents can shape. International influence may be exercised indirectly, through tax and national regulatory frameworks, or directly, via executive or legislative actions such as imposing capital controls or international financial sanctions. The publicly sourced, comparative data compiled and presented in this section suggest that as of 2012 or 2013, the BRICS, including China, remained clearly inferior to the G5 in their control of potentially influential international financial, monetary and closely related capabilities. However, the clear direction of change since the mid-1990s is toward rising capabilities accruing to the BRICS.

TABLE 2.6

Transitions in Global Trade, Financial, and Monetary Capabilities: G5 and BRICS

		Trade Presence	Current Account Surplus	Home Financial Market *(ends 2012)*	Foreign Exchange Holdings	Home Currency in Allocated Reserves
G5						
United States	1995	13.9	0.0	32.2	5.4	68.1
	2013	11.4	0.0	33.4	1.1	62.9
G4	1995	27.9	45.6	45.5	24.5	31.7
	2013	18.7	19.5	14.4	12.7	33.1
BRICS						
China	1995	2.3	0.6	0.4	5.5	0.0
	2013	9.5	12.5	5.9	32.6	0.0
Other BRICS	1995	4.0	2.6	2.0	6.1	0.0
	2013	6.5	2.3	4.9	9.7	0.0

Note: Country shares in global totals, in percent.

Source: Leslie Elliott Armijo, Daniel Tirone, and Hyoung-kyu Chey. "Global Finance Meets Neorealism, and a Dataset," Unpublished paper and dataset, indicators TST, CAS, FWD, FWFX, and CDSRA.

The first data column in Table 2.6 shows comparative trade capabilities, measured as a country's share of total world trade flows using the standard measure of its share in both merchandise exports and imports as a percentage of the world totals.[133] Trade flows are closely related to, and a likely prerequisite for, many international financial capabilities. The trade presence of the BRICS has grown dramatically between 1995, when they accounted for 6.3 percent of total world trade, and 2013, by which time their collective share had grown to 16 percent, with 7.2 percentage points of this rise being accounted for by China alone. Meanwhile, the share of the G5 decreased by a roughly equivalent amount, falling from 41.8 percent in 1995 to 30.1 percent in 2013. That is, the importance of the five most politically and economically dominant countries in total world trade fell in less than two decades by slightly more than 10 percentage points—and most of this drop was picked up by the BRICS, but especially by China.

Moreover, the shift in the share of the world's total current account surplus (measured by summing the total value of the surpluses of all countries with a surplus and then allocating percentage shares) was much more